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M1 MACRO

Group B

Session 6

These notes are written during class. They are posted "for the record" and may contain mistakes. They are not intended to be read by anyone that did not attend the class.

Economy with 2 firms, 2 units of input

Technology:
of 1 firm

Input

Output

1

1

2

2

1.5

produce with 1 firm

→

2

1.5

2 — 5

2

2

• If $y = F(k)$, $F' > 0$, $F'' < 0$

$\bar{k}$. , 1 firm $y = F(\bar{k})$

N firms $y = N \times F\left(\frac{\bar{k}}{N}\right)$

If F is concave, then $F(\bar{k}) < N F\left(\frac{\bar{k}}{N}\right)$

